LEGAL DUE DILIGENCE REPORT

Project Quartz — Proposed acquisition of Holbeck Spa & Wellness Group Limited

Prepared for: Kingsford Group Limited

Prepared by: Whitfield Carter LLP | Date: 27 February 2026 | PRIVILEGED & CONFIDENTIAL

1. Introduction and scope

This report summarises the findings of the legal due diligence exercise carried out by Whitfield Carter LLP in connection with the proposed acquisition by Kingsford Wellness Bidco Limited of the entire issued share capital of Holbeck Spa & Wellness Group Limited (the "Company") and its subsidiaries (together the "Group"). Our review was based on the documents made available in the data room hosted by Crayford Bellamy LLP (index version 4, 28 February 2026), replies to our enquiries and public searches. This report is subject to the limitations set out in Appendix 1 and is qualified in its entirety by the disclosures to be made in the Disclosure Letter.

2. Executive summary

The Group operates four premium day-spa and wellness sites (Harrogate flagship, Leeds, York and a recently acquired Ilkley site) together with a small retail operation. We have not identified any issue that should prevent the transaction from proceeding. The matters warranting attention, addressed by warranty, specific disclosure, price adjustment or condition, are summarised in the risk table below.

Ref	Area	Finding	Risk	Mitigation
3.1	Title to Shares	Aldington 20% holding subject to investment agreement with drag-over option.	Medium	Deed of waiver obtained 4 Mar 2026; condition to completion.
3.2	Property — Harrogate	20-year lease (2018); rent review outstanding from Sep 2025.	Medium	Specific disclosure; warranty; price not adjusted (within tolerance
3.3	Property — Ilkley	Site occupied under licence pending grant of new lease.	Low	Conditions/undertaking from landlord; warranty.
3.4	Material contracts	5-year exclusive supply agreement (Sentvia) and hotel spa-management agreement (to 2027).	Low	Change-of-control review; consent required.
3.5	Employment	Senior-therapist commission consultation ongoing.	Low	Disclosed; no claims intimated; warranty.
3.6	Litigation/insurance	Historic public-liability PI claim (2024), insured.	Low	Insurer conducting defence; reserve £18,500; warranty.
3.7	Tax	R&D tax-credit claim £64,000 under HMRC review.	Low	Excluded from Completion Accounts; tax covenant.
3.8	Net Debt	Deferred consideration £420,000 on 2024 Ilkley acquisition.	Medium	Included in Net Debt under Schedule 7; completion-accounts adju

4. Corporate

The Company was incorporated on 14 February 2014. Its issued share capital is 1,000,000 ordinary shares of £1.00 each, held as to 52.5% by Daniel Holbeck, 17.5% by Margaret Holbeck, 10% by the Holbeck Family Trust and 20% by Aldington Growth Partners LLP. The statutory books are complete save for minor historical filing delays now regularised. The Group comprises the Company, Holbeck Spas (Operations) Limited and Holbeck Retail Limited, each wholly owned.

5. Financial information

The audited accounts to 31 March 2025 show turnover of £14.2 million and adjusted EBITDA of £5.4 million. The management accounts to 31 January 2026 are consistent with budget. We have relied on the financial and tax due diligence of Marlow Tax & Advisory Ltd, whose report should be read alongside this report.

6. Properties

The Group occupies the Leeds and York sites freehold, the Harrogate flagship under a long lease and the Ilkley site under licence. Replies to CPSE enquiries and Land Registry searches did not reveal any material adverse matters beyond the rent review and licence position noted above.

7. Commercial contracts

We reviewed the Group's material contracts, including the Sentvia exclusive supply agreement and the hotel spa-management agreement. None contains a change-of-control provision triggered by the transaction. Standard supplier and membership terms are unremarkable.

8. Employees and pensions

The Group employs 138 staff. There is no defined-benefit pension arrangement; the Group operates an auto-enrolment workplace pension. Senior-employee terms are disclosed. The Managing Director's service contract is to be replaced by a transitional consultancy on completion.

9. Regulatory, health & safety

Spa and wellness operations are subject to local-authority licensing and health-and-safety regulation. Inspection records and risk assessments were reviewed; two minor Environmental Health recommendations (Leeds, 2025) have been addressed. Insurance cover is adequate and in force.

10. Recommendations

We recommend proceeding to exchange and completion on the basis of the agreed Share Purchase Agreement, subject to: (a) completion of the Aldington waiver; (b) the agreed completion-accounts treatment of Net Debt including the Ilkley deferred consideration; and (c) the specific disclosures being reflected in the final Disclosure Letter. No price reduction beyond the agreed Net Debt mechanism is considered necessary.

Appendix 1 — Scope and limitations: This report is addressed to Kingsford Group Limited solely for the purpose of the proposed acquisition and may not be relied upon by any other person or for any other purpose. It is based on documents and information made available up to 28 February 2026 and is qualified by the Disclosure Letter. It does not constitute a report on the commercial merits of the transaction.